

Vanguard's STAR fund (see Chapter 5 for details), which charges 0.32%. (You may want to switch to the S&P 500 fund once you get to \$3,000.)

If you're eager to get started with an IRA, another relatively low-minimum company is Dreyfus ([www.dreyfus.com](http://www.dreyfus.com); 800-782-6620), which requires just \$750 to start—although it does charge 0.5% for its S&P 500 fund. T. Rowe Price ([www.troweprice.com](http://www.troweprice.com); 800-225-5132) lets you start with \$1,000 upfront, or \$50 a month if you sign up for the automatic investment program. But its S&P 500 fund is slightly more expensive (0.35%).

If you're a teacher or come from a military background, you may qualify to open an IRA at TIAA-CREF ([www.tiaa-cref.org](http://www.tiaa-cref.org); 800-842-2252) or USAA ([www.usaa.com](http://www.usaa.com)), respectively, which offer their own mix of relatively cheap funds (their S&P 500 funds clock in at 0.32% and 0.19%, respectively) and low minimums (as low as zero at TIAA-CREF, and a one-time initial payment of \$250 at USAA).

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## A NEW TYPE OF OLD-FASHIONED PENSION

In your parents' (or grandparents') era, employees stayed with the same company for twenty or thirty years, and many were rewarded at the end of their work lives with pensions paid for by their employers. Today, these old-fashioned pensions, known as defined benefit plans, are virtually extinct.

But not all employers have abandoned pensions altogether. The new trend is toward something called **cash balance plans**. For many younger workers, these plans may actually be an improvement over the old ones, since they're "portable," meaning you can take the money with you if you leave the company before you retire. Traditional pensions rewarded employees for staying with companies for a long time and the benefits increased significantly as these workers neared retirement. But most people today don't plan to spend the rest of their lives at one company. Cash balance plans address that reality.

If you work for a company that offers a cash balance plan, you don't have to sign up; that's done for you. Here's how they work: Your employer simply puts a given amount of money—typically 5%